

Journal of Financial Crises

Volume 2 | Issue 3

2020

The United Kingdom's Asset-backed Securities Guarantee Scheme (U.K. GFC)

June Rhee
Yale School of Management

Follow this and additional works at: <https://elischolar.library.yale.edu/journal-of-financial-crises>



Part of the [Finance Commons](#), [Policy Design, Analysis, and Evaluation Commons](#), and the [Political Economy Commons](#)

Recommended Citation

Rhee, June (2020) "The United Kingdom's Asset-backed Securities Guarantee Scheme (U.K. GFC)," *Journal of Financial Crises*: Vol. 2 : Iss. 3, 948-963.

DOI: <https://doi.org/10.17132/2693-3179.1091>

Available at: <https://elischolar.library.yale.edu/journal-of-financial-crises/vol2/iss3/49>

This Case Study is brought to you for free and open access by the Journal of Financial Crises and EliScholar – A Digital Platform for Scholarly Publishing at Yale. For more information, please contact journalfinancialcrises@yale.edu.

READERS TAKE NOTICE:

As of April 2024, the YPFS Resource Library's site domain has changed to <https://elischolar.library.yale.edu/ypfs-financial-crisis-resource-library/>.

Please be aware that upon clicking any of the URL references to the former Resource Library domains, either <https://ypfs.som.yale.edu> or <https://ypfsresourcelibrary.blob.core.windows.net/>, in the "References/Key Program Documents" section of a case study, readers will encounter a "page not found" error.

Readers can still retrieve a given resource cited within this case study on the [new site](#) by searching [here](#) for the title cited.

UK Asset-backed Securities Guarantee Scheme¹

*June Rhee*²

Yale Program on Financial Stability
January 16, 2019, revised: October 10, 2020

Abstract

The key structures of housing finance in the UK in the years leading up to the global financial crisis of 2007-09 consisted of retail deposits, secondary market funding and wholesale interbank lending. Although retail deposits were the major funder of UK mortgages, secondary market funding, which included covered bonds and residential mortgage-backed securities (RMBS), accounted for 31% of UK mortgage lending in 2006. In 2007, the collapse of the U.S. subprime mortgage market triggered a financial shock, and the shock quickly traveled beyond national borders. Regardless of differences in the UK mortgage market, investors' concern over the prospects of the U.S. housing market influenced their perception of UK mortgage-backed assets. And with the UK RMBS market substantially reliant on overseas investors, their concern contributed to a downturn in the UK market.

In a November 2008 report on mortgage finance by Sir James Crosby, it was argued that “[w]ithout intervention, the market in mortgage-backed securities won't return any time soon ...” and that “the inability to refinance existing mortgage-backed funding and the continuing pressures in wholesale funding markets ... [were] really hitting the banks' capacity to make new loans ...”. In response to this report, HM Treasury announced a £50 billion guarantee scheme for asset-backed securities (the Scheme) on January 19, 2009 and launched this Scheme on April 22, 2009.

The Scheme, in which HM Treasury provided a guarantee for eligible newly issued RMBS, represented an extension of the 2008 Credit Guarantee Scheme for unsecured debt issuance by UK incorporated banks and building societies. The Scheme aimed to support residential mortgage lending in the UK economy. The Scheme closed on December 31, 2009, without having been used.

Keywords: United Kingdom, asset-backed securities, ABS, residential mortgage-backed securities, RMBS, securitization, guarantee

¹ This case study is part of the Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering the responses to the global financial crisis that pertain to bank debt guarantee programs.

Cases are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/>.

² June Rhee — Senior Editor, YPFS, Yale School of Management.

UK 2009 Asset-backed Securities Guarantee Scheme

At a Glance

In 2007, the collapse of the U.S. subprime mortgage market triggered a financial shock, and the shock quickly traveled beyond national borders. U.S. investors' concern over the prospects of the U.S. housing market influenced their perception of UK mortgage-backed assets. And with the UK RMBS market substantially reliant on overseas investors, the U.S. investors' concern contributed to a downturn in the UK market. A November 2008 report on mortgage finance by Sir James Crosby (Crosby Report) stated that there was a "disappearance of a substantial section of the previous investor base" in mortgage-backed securities, draining liquidity from the RMBS market. Net lending secured on residential property totaled £37.4 billion during January–September 2008, compared to £84.7 billion during January–September 2007. The Crosby Report concluded that an "intervention which addresses the 'closure' of mortgage-backed funding markets will bring about increased competition and improve the availability of mortgage finance to homeowners and would be homeowners," and "such intervention should ensure that a cyclical correction in the housing market does not turn into something much more serious with all that would ultimately imply for the wider economy."

Summary of Key Terms	
Purpose: To support residential mortgage lending in the UK economy.	
Announcement Date	January 19, 2009
Operational Date	April 22, 2009
Date of First Guaranteed Loan Issuance	N/A
Issuance Window Expiration Date	Originally October 22, 2009; extended until December 31, 2009
Program Size	£50 billion
Usage	No usage
Outcomes	N/A
Notable Features	Specialized lenders excluded despite their importance to relevant market; terms less attractive than already existing program

In response to the Crosby Report, HM Treasury announced on January 19, 2009, that the £50 billion Asset-backed Securities Guarantee Scheme (the Scheme) would be launched on April 22, 2009. The Scheme, under which HM Treasury provided a guarantee for eligible newly issued RMBS in exchange for a fee, represented an extension of the 2008 Credit Guarantee Scheme for unsecured debt issuance by UK incorporated banks and building societies. Under the Scheme, the maximum term of a guarantee was either up to three years or up to five years, and the participating institution's group could not have more than one third of the total guaranteed eligible RMBS with a five-year term.

Guarantees were originally to be provided only to eligible RMBS issued within six months of the commencement of the Scheme, but HM Treasury subsequently extended the issuance window up to December 31, 2009. The Scheme expired on December 31, 2009, having never been used.

Summary Evaluation

As noted, the Scheme was never used. Some commentators have criticized the effectiveness of the Scheme due to alleged design flaws including the exclusion of specialist lenders, restrictions on eligible securities, and the existence of other government programs with more favorable terms.

United Kingdom Credit Guarantee Scheme: United Kingdom Context	
GDP (SAAR, Nominal GDP in LCU converted to USD)	\$3,102.8 billion in 2007 \$2,948.0 billion in 2008 <i>Source: Bloomberg</i>
GDP per capita (SAAR, Nominal GDP in LCU converted to USD)	\$50,567 in 2007 \$47,287 in 2008 <i>Source: Bloomberg</i>
Sovereign credit rating (5-year senior debt)	As of Q4 2007: Fitch: AAA Moody's: Aaa S&P: AAA As of Q4 2008: Fitch: AAA Moody's: Aaa S&P: AAA <i>Source: Bloomberg</i>
Size of banking system	\$4,895.3 billion in total assets in 2007 \$5,299.6 billion in total assets in 2008 <i>Source: Bloomberg</i>
Size of banking system as a percentage of GDP	157.8% in 2007 179.8% in 2008 <i>Source: Bloomberg</i>

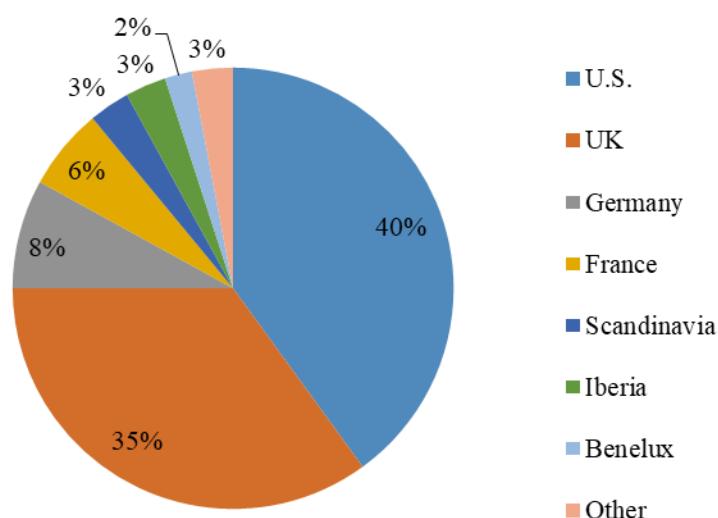
Size of banking system as a percentage of financial system	Data not available for 2007/2008 <i>Source: World Bank Global Financial Development Database</i>
5-bank concentration of banking system	76.8% of total banking assets in 2007 79.1% of total banking assets in 2008 <i>Source: World Bank Global Financial Development Database</i>
Foreign involvement in banking system	14% of total banking assets in 2007 19% of total banking assets in 2008 <i>Source: World Bank Global Financial Development Database</i>
Government ownership of banking system	Data not available for 2007 1% of banks owned by the state in 2008 <i>Source: Call et al. "Bank Ownership – Trends and Implications"</i>
Existence of deposit insurance	100% insurance on deposits up to \$4,000; 90% on next \$66,000 in 2007 100% insurance on deposits up to \$93,000 after October 2008 <i>Source: World Bank Deposit Insurance Dataset, OECD</i>

I. Overview

Background

The key structures of housing finance in the UK in the years leading up to the global financial crisis of 2007-09 consisted of retail deposits, secondary market funding and wholesale interbank lending. Although retail deposits were the major funder of UK mortgages, secondary market funding, which included covered bonds and residential mortgage-backed securities (RMBS), accounted for 31% of UK mortgage lending in 2006. (Housing Finance Review 2008) Investors in the UK RMBS market were heavily from the U.S., as seen in Figure 1.

Figure 1: Investors in UK RMBS, by country



Source: *Mortgage Finance: Interim Analysis, July 2008.*

In 2007, the collapse of the U.S. subprime mortgage market triggered a financial shock, and the shock quickly traveled beyond national borders. Compared to the U.S., the UK was reported to have fewer defaulting mortgage borrowers. Moreover, it was estimated that in the U.S., up to a quarter of all mortgage loans were subprime or near-prime, whereas in the UK market this percentage was much smaller. Additionally, most U.S. subprime lending was at heavily discounted initial rates and was “non-recourse lending,” incentivizing the mortgage borrowers to walk away from their debt once the equity in the property had been extinguished (Crosby Final 2008).

Regardless of such differences in the UK mortgage market, U.S. investors’ concern over the prospects of the U.S. housing market influenced their perception of UK mortgage-backed assets. And with the UK RMBS market substantially reliant on overseas investors, the U.S.

investors' concern contributed to a downturn in the UK market. A November 2008 report on mortgage finance by Sir James Crosby (Crosby Report) stated that there was a "disappearance of a substantial section of the previous investor base" in mortgage-backed securities, draining liquidity from the RMBS market. Net lending secured on residential property totaled £37.4 billion during January–September 2008, compared to £84.7 billion during January–September 2007 (Crosby Final 2008).

The Crosby Report also argued that "[w]ithout intervention, the market in mortgage-backed securities won't return any time soon ..." and that "the inability to refinance existing mortgage-backed funding and the continuing pressures in wholesale funding markets ... [were] really hitting the banks' capacity to make new loans ...". The Crosby Report concluded that an "intervention which addresses the 'closure' of mortgage-backed funding markets will bring about increased competition and improve the availability of mortgage finance to homeowners and would be homeowners" and "such intervention should ensure that a cyclical correction in the housing market does not turn into something much more serious with all that would ultimately imply for the wider economy." In response to the Crosby Report, HM Treasury announced on January 19, 2009, that the £50 billion Asset-backed Securities Guarantee Scheme (the Scheme) would be launched on April 22, 2009 (HMT Statement 2009).

Program Description

The Scheme, under which HM Treasury provided a guarantee for eligible newly issued RMBS, represented an extension of the 2008 Credit Guarantee Scheme for unsecured debt issuance by UK incorporated banks and building societies (Market Notice 2009).

The Scheme aimed to support residential mortgage lending in the UK economy. It intended to (i) improve banks' and building societies' access to wholesale funding markets, (ii) help support lending to credit-worthy borrowers, (iii) promote robust and sustainable markets over the long term, and (iv) protect the taxpayer by HM Treasury guaranteeing mortgage-backed securities backed by UK residential properties (Market Notice 2009).

Institutions eligible to participate in the Credit Guarantee Scheme were also eligible to participate in this Scheme and were required to use the pro forma application form available on the UK Debt Management Office website (Market Notice 2009). The institution would submit a request for participation to HM Treasury. HM Treasury, in its discretion, issued an ABS Scheme Institution Certificate confirming the participation. The participating institution then would apply for an ABS Transaction Confirmation for its proposed ABS transaction. Again, it was under HM Treasury's discretion to confirm such application (Rule 2009).

Eligible institutions included UK incorporated banks (including UK subsidiaries of foreign banks) which have a substantial business in the UK, and UK building societies, in each case so long as they had Tier 1 capital in an amount deemed appropriate by HM Treasury. Only one entity within a corporate group was allowed to participate in the Scheme, but issuances under the Scheme were allowed to be made either by the participating institution or by its sponsored affiliated entities (Issuer) (Market Notice 2009).

There were two types of guarantee available under the Scheme. The first type was the credit guarantee, which ensured the timely payment of all amounts of interest and principal payable in respect of the eligible RMBS. The second type was the liquidity guarantee, which ensured that if an issuer failed to honor its obligation to purchase the eligible RMBS following an exercise of a put or call option under the terms of the eligible RMBS, then HM Treasury would purchase such RMBS from the holder. An eligible RMBS under the Scheme could only benefit from either a credit guarantee or a liquidity guarantee (Market Notice 2009).

Eligible RMBS under the Scheme were to be (i) issued under stand-alone transactions or under-established or newly established master trusts, which have been approved by HM Treasury at its sole discretion; (ii) denominated in a single currency; (iii) rated AAA or the equivalent at the time of issue by at least two international credit rating agencies, disregarding the availability of the applicable guarantee; and (iv) listed on the regulated market of the London, Irish, or Luxembourg Stock Exchanges (Market Notice 2009).

Furthermore, any mortgages contained in the underlying mortgage pool of the eligible RMBS were required to meet certain requirements including minimum loan-to-value ratios and credit conditions (Market Notice 2009).

Guarantees were originally to be provided only to eligible RMBS issued within six months of the commencement of the Scheme, but HM Treasury subsequently extended the period up to December 31, 2009. The maximum term of a guarantee was either up to three years or up to five years, and the participating institution's group could not have more than one third of the total guaranteed eligible RMBS with a five-year term (Market Notice 2009).

Issuers under the Scheme were required to provide periodic reports, at least quarterly, to the RMBS investors and HM Treasury. The disclosure in these periodic reports was to be in line with international best practice such as the "RMBS Issuer Principles for Transparency and Disclosure, Version 1," published by the European Securitisation Forum in February 2009 (Market Notice 2009).

Under the Scheme, HM Treasury was entitled to be indemnified for the amounts paid under the guarantee from the participating institution or the Issuer. Moreover, it could, under its discretion, require indemnification from any member of the corporate group to which the Issuer belonged (Rule 2009). In addition, to participate in the Scheme, the participating institution had to pay a fee to HM Treasury in an amount equal to 25 basis points over its median five-year credit default swap (CDS) spread during the period from July 2, 2007, to July 1, 2008, as determined by HM Treasury, and HM Treasury could charge an incremental fee in respect of guarantees of non-sterling-denominated eligible RMBS (Market Notice 2009).

Outcomes

There was no further extension of the issuance window for the Scheme, and it expired on December 31, 2009. A report by the National Audit Office on December 15, 2010 states that the Scheme was not used.

II. Key Design Decisions

1. The British government introduced the Scheme as an extension of the Credit Guarantee Scheme adopted in October 2008.

The Credit Guarantee Scheme itself was one component of a three-part package including a bank recapitalization program and the extension of a liquidity scheme.

2. The Scheme was established pursuant to the authority of the Chancellor of the Exchequer to issue guarantees of debt.

This authority allowed for the establishment of the Scheme without the need for additional legislation.

3. In accordance with State aid rules, the Scheme required European Commission approval to be implemented.

UK authorities notified the European Commission of the Scheme on April 17, 2009, and received approval on April 21, 2009.

4. The size of the program was established at £50 billion.

Program documents did not provide a specific rationale for this amount.

5. Institutions eligible for the Credit Guarantee Scheme were also eligible for this Scheme.

Institutions eligible to participate in the Credit Guarantee Scheme were also eligible to participate in this Scheme and were required to use the pro forma application form available on the UK Debt Management Office website. When the British government introduced the Credit Guarantee Scheme as part of the October 8, 2008, package of stabilization measures, it made eight major institutions³ automatically eligible for participation “in recognition of their commitment to strengthen their aggregate capital position” by a collective £25 billion in Tier 1 capital pursuant to the Bank Recapitalisation Fund that was also part of the package. Other UK deposit-takers (including UK-incorporated subsidiaries of foreign institutions) and building societies could apply to be eligible, with eligibility contingent on a determination by HM Treasury that the applicant possessed sufficient Tier 1 capital. Applicants would also have their roles in the UK banking system and overall economy evaluated.

The list of eligible institutions in the Scheme was narrower (limited to deposit takers and building societies) than recommended by the Crosby Report, which included not only banks and building societies but also specialist lenders (Crosby Final 2008; Rules 2009).

Only one entity within a corporate group was allowed to participate in the Scheme, but issuances of RMBS under the Scheme could be made either by the participating institution or by its sponsored affiliated entities (Market Notice 2009).

6. The securities eligible for guarantee under the Scheme were certain RMBS backed by residential mortgages over property in the UK.

When the Scheme was first announced, eligible securities to be guaranteed under the Scheme were RMBS, but the UK government also stated that HM Treasury would keep the scope of the Scheme “under review.” However, there was no extension of the Scheme beyond RMBS (Market Notice 2009).

Eligible RMBS under the Scheme were required to be:

³ Abbey National, Barclays, HBOS, HSBC Bank, Lloyds TSB, Nationwide Building Society, Royal Bank of Scotland, and Standard Chartered.

- issued under a master trust existing at April 22, 2009, the aggregate principal amount of the proposed issue of Eligible Securities not exceeding the Capped Amount⁴;
- denominated in a single currency of Sterling, Euro, US Dollars, Australian Dollars, Canadian Dollars, Swiss Francs, Yen, or such other currency as approved by HM Treasury;
- rated AAA or the equivalent at the time of issue by at least two international credit rating agencies, disregarding the availability of the applicable guarantee; and
- admitted to the official list of the relevant competent authority or stock exchange (as the case may be) and admitted to trading on the regulated market of the London, Dublin, or Luxembourg stock exchanges. (Rule 2009)

Furthermore, any mortgages contained in the underlying mortgage pool of the eligible RMBS were required to meet additional requirements:

- each mortgage loan must have been originated on or after January 1, 2008;
- each mortgage loan must have been secured by a valid first-ranking mortgage, or (in Scotland) standard security, over a residential property located in the United Kingdom;
- the current balance of each mortgage loan could not exceed £500,000;
- LTV ratio of each mortgage at origination could not exceed 90% of the lower of the purchase price or the then most recent valuation of the mortgaged property;
- the weighted average LTV ratio of all the mortgage loans in the underlying pool could not exceed 75% of the lower of the respective purchase prices of the mortgaged properties or the most recent valuations as at the time of origination;
- at least one full payment in respect of each mortgage loan must have been made;
- no amount of principal or interest in respect of each mortgage loan can have been in arrears at any time prior to the date of sale referred to above; and
- each borrower of each mortgage loan:
 - must have been a natural person;
 - must have satisfied the lending criteria that would be applied by a reasonable and prudent mortgage lender;
 - must not have been a “self-certified” borrower (but this does not refer to “fast-track” credit underwriting procedures); and

⁴ “Capped Amount” means the aggregate principal amount of eligible securities which could be issued if they were backed exclusively by the Proposed Pool in a stand-alone transaction; “Proposed Pool” means the pool of eligible mortgages which is proposed to be sold by the eligible institution to the master trust to back the proposed issue of eligible securities.

- must not have had an adverse credit history. (Rule 2009)

7. There were two types of guarantees—credit guarantees and liquidity guarantees—available under the Scheme, and each issuance could only benefit from one type.

There were two types of guarantees available under the Scheme. The first type was the credit guarantee, which ensured the timely payment of all amounts of interest and principal payable in respect of the eligible RMBS. The second type was the liquidity guarantee, which ensured that if an issuer failed to honor its obligation to purchase the eligible RMBS following an exercise of a put or call option under the terms of the eligible RMBS, then HM Treasury purchased such RMBS from the holder. An eligible RMBS under the Scheme could only benefit from either a credit guarantee or a liquidity guarantee (Market Notice 2009).

8. RMBS with maturities up to three years (or five years in special circumstances) could be issued under the Scheme.

A participating institution's group could not have more than one third of the total guaranteed eligible RMBS with a five-year term. The government does not appear to have established minimum maturity requirements for eligible debt.

9. Only RMBS issued in sterling, euros, U.S. dollars, Japanese yen, Australian dollars, Canadian dollars, or Swiss francs were eligible.

Additional currencies could be made eligible via a determination by HM Treasury.

10. There do not appear to have been caps on an individual institution's participation in the Scheme.

Program documents did not contain language limiting the amount of an individual institution's participation in the program.

11. The fee for issuing RMBS pursuant to the Scheme varied based on the soundness of the issuing bank.

To participate in the Scheme, the participating institution had to pay a fee to HM Treasury in an amount equal to 25 basis points over its median five-year CDS spread during the period from July 2, 2007, to July 1, 2008, as determined by HM Treasury, and HM Treasury could charge an incremental fee in respect of guarantees of non-sterling denominated eligible RMBS (Market Notice 2009). This approach mirrored the fee structure for the Credit Guarantee Scheme, which imposed a fee of 50 basis points over the median five-year CDS spread.

12. Issuers of RMBS guaranteed by the Scheme were required to produce periodic reports to their investors and HM Treasury.

The disclosure in these periodic reports was to be in line with international best practice such as the "RMBS Issuer Principles for Transparency and Disclosure, Version 1" published by the European Securitisation Forum in February 2009 (Market Notice 2009).

13. The deadline for issuance under the Scheme was initially October 22, 2009, but was later extended to December 31, 2009.

Guarantees were originally to be provided to eligible RMBS issued within six months from the start of the Scheme, subject to any extension at the discretion of HM Treasury. HM Treasury subsequently extended the issuance window of the Scheme up to December 31, 2009 (EU 2009, Market Notice October 2009).

III. Evaluation

There do not appear to be any significant reports or studies analyzing the outcomes of the Scheme. However, a published report by the Communities and Local Government Committee (CLGC) contains a statement by John Heron of the Intermediary Mortgage Lenders Association criticizing the effectiveness of the Scheme in restarting mortgage lending. CLGC is a select committee of the House of Commons in the Parliament of the UK. Heron argues that the Scheme did not work from a mortgage lender's standpoint because:

- it could only be accessed by banks and building societies, which meant more specialist lenders—the lenders that typically support the private rental sector and have customers in greater financial difficulty—did not have access;
- it only covered AAA-rated securities; and
- the guarantee was only for three or five years' term, and if a lender borrowed with a guarantee from the Scheme, it could be required to repay that money in three or five years' time, which is not satisfactory for long-term funding of mortgages that may be 20 or 25 years (CLGC 2009).

Rob Thomas, a senior policy advisor at the Council of Mortgage Lenders, and Kevin Ingram, a partner at Clifford Chance, have questioned the effectiveness of the Scheme as it was only made available to deposit takers against the advice of the Crosby Report. Moreover, both Thomas and Ingram point out that these deposit takers already had access to the Credit Guarantee Scheme whose terms were more attractive than the Scheme's (Thomas 2010; Ingram 2009).

Ingram also criticized a certain design aspect of the Scheme, comparing it to Term Asset-Backed Securities Loan Facility (TALF) in the U.S. Both were aimed at restarting the securitization market by encouraging investors to participate in the market. However, whereas TALF provided investors in eligible asset-backed securities resources to pay for their investments, the Scheme only focused on the guarantee side of the investments and the investors would still have to raise the funds to invest in the securitization market when such funding was hard to obtain in the first place (Ingram 2009).

IV. References

Crosby, James. July 2008. "Mortgage Finance: Interim Analysis." HM Treasury. https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/Crosby_Review_Interim_Analysis_29_July_2008.pdf.

———. November 2008. "Mortgage Finance: Final Report and Recommendations." HM Treasury. https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/pbr08_mortgagefinance_1010.pdf.

European Commission. October 27, 2009. "Prolongation of the Asset Backed Securities Guarantee Scheme." https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/233396_1019387_21_2.pdf.

European Securitisation Forum. December 2008. RMBS Issuer Principles for Transparency and Disclosure, Version 1." <https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/b57eda1f-88f9-47f2-a41d-93837801c322.pdf>.

HM Treasury. March 2008. "Housing Finance Review: Analysis and Proposals." https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/bud08_housing_787_.pdf.

———. January 19, 2009. "Statement on financial intervention to support lending in the economy." https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/Statement%20on%20financial%20intervention%20to%20support%20lending%20in%20the%20economy%20-%20HM%20Treasury_0.pdf.

———. April 22, 2009. "The Government's Deed of Guarantee." <https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSDeed.pdf>.

———. April 22, 2009. "The Rules of the Scheme and Pro Forma Application Forms." [https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20\(2\).pdf](https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20(2).pdf).

House of Commons: Communities and Local Government Committee. July 7, 2009. "Eighth Report: Housing and the Credit Crunch: Follow-up." <https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/568.pdf>.

Ingram, Kevin. October 2009. "If Securitization Is Dead, Why Do So Many Government Schemes Use It?" *Capital Markets Law Journal*, Issue 4, Vol. 4. <https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/Capital%20Markets%20Law%20Journal.pdf>.

National Audit Office. December 15, 2010. "Maintaining the Financial Stability of UK Banks: Update on the Support Schemes." <https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/1011676.pdf>.

Thomas, Rob. Autumn 2010. "The Role of Mortgage Securitisation in the Financial Crisis and how to Restore the Market's Health." *Housing Finance International (Online)*, Issue 1, Vol. 25. <https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/Housing%20Finance%20International.pdf>.

UK Debt Management Office. April 22, 2009. "Market Notice: Outline of the UK Government's 2009 Asset-backed Securities Guarantee Scheme." <https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSMarketNotice.pdf>.

———. October 28, 2009. "Market Notice: Extension of Entry Window for the Government's Asset-backed Securities Guarantee Scheme." <https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-10-28ABSMarketNotice.pdf>.

V. Key Program Documents

Summary of Program

The Rules of the Scheme (04/22/2009) – *Rules set forth on how the guarantee provided under the Scheme works.* [https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20\(2\).pdf](https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20(2).pdf).

Market Notice: Extension of Entry Window for the Government's Asset-backed Securities Guarantee Scheme (10/28/2009) – *HMT announcement extending the period of the Scheme.* <https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-10-28ABSMarketNotice.pdf>.

Market Notice: Outline of the UK Government's 2009 Asset-backed Securities Guarantee Scheme (04/22/2009) – *HMT document outlining the terms of the Scheme.* <https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSMarketNotice.pdf>.

Implementation Documents

Form of ABS Scheme Institution Certificate – *HMT document certifying that the named institution is a registered participant in the Scheme (Annex 2).* [https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20\(2\).pdf](https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20(2).pdf).

Form of Application for ABS Transaction Confirmation – *Form submitted to apply for participation in the Scheme (Annex 3).*

[https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20\(2\).pdf](https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20(2).pdf).

Form of Application for ABS Eligibility Certificate – *Form applying for certification of the ABS to be guaranteed under the Scheme (Annex 4).*
[https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20\(2\).pdf](https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20(2).pdf).

Form of ABS Transaction Confirmation – *HMT providing confirmation that the named ABS transaction is guaranteed under the Scheme (Annex 7).*
[https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20\(2\).pdf](https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20(2).pdf).

Form of ABS Eligibility Certificate – *HMT certifying that the named securities are guaranteed under the Scheme (Annex 8).*
[https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20\(2\).pdf](https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20(2).pdf).

Form of Closing Certificate – *Issuer of the eligible securities certifying that the transaction and issued securities comply with the rules set forth by HMT (Annex 9).*
[https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20\(2\).pdf](https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20(2).pdf).

Form of Eligible ABS Institution Counter-Indemnity in respect of [the Guaranteed Credit Liabilities][the Guaranteed Liquidity Liabilities] – *Form provided to HMT by issuer setting forth terms for indemnifying the amount paid out under the guarantee (Annex 10).*
[https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20\(2\).pdf](https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20(2).pdf).

Form Fee Letter – *UK Debt Management Office's letter providing the amount of the fee for participating in the Scheme (Annex 12).* [https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20\(2\).pdf](https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20(2).pdf).

Form of Offering Document Disclosure – *Disclosure form to be attached to the offering circular of the issued securities stating that the issued securities were guaranteed by the Scheme (Annex 13).* [https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20\(2\).pdf](https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20(2).pdf).

Relevant Guarantor Transaction Legal Opinions – *Legal opinion confirming certain items of the documentation under the Scheme (Annex 14).*
[https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20\(2\).pdf](https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20(2).pdf).

Form of Demand – *Form to be used by appropriate party to demand payments under the guarantee from HMT (Annex 15).*

[https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20\(2\).pdf](https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/2009-04-22ABSRules%20(2).pdf).

Press Releases/Announcements

Statement on financial intervention to support lending in the economy (HM Treasury, 01/19/2009) – *Announcement from HM Treasury on the government scheme implemented.*
https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/Statement%20on%20financial%20intervention%20to%20support%20lending%20in%20the%20economy%20-%20HM%20Treasury_0.pdf.

Reports/Assessments

If securitization is Dead, why do so many government schemes use it? (Ingram 2009) – *Article on the rationale behind the implementation of securitization in government schemes.*
<https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/Capital%20Markets%20Law%20Journal.pdf>.

The Role of Mortgage Securitisation in the Financial Crisis and how to Restore the Market's Health (Thomas 2010) – *Article on the effect of Mortgage Securitization on the Great Financial Crisis.*
<https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/Housing%20Finance%20International.pdf>.

Housing and the Credit Crunch: Follow-up (07/07/2009) – *Report by Communities and Local Government containing a statement criticizing the effectiveness of the Scheme.*
<https://ypfsresourcelibrary.blob.core.windows.net/fcic/YPFS/568.pdf>.

Copyright 2015, 2016, 2020 © Yale University. All rights reserved. To order copies of this material or to receive permission to reprint any or all of this document, please contact the Yale Program for Financial Stability at ypfs@yale.edu.